D.J. PARIS

29. THE LOWEST SINCE 2012.

Builder confidence just hit a level it hasn't seen in fourteen years.

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BUILDERS ARE CUTTING PRICES AND BUYERS STILL AREN'T SHOWING UP.

Builder confidence just fell to its lowest point since 2012.

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THE SUB-SCORE THAT'S WORSE THAN THE HEADLINE NUMBER.

The NAHB's builder confidence index fell to 29 in October, the lowest reading since June 2012. The piece of that score that tracks buyer traffic fell even further, to its lowest level since April 2012, outside the first weeks of the pandemic. Builders are responding by discounting. Forty-three percent cut their price this month, by six percent on average, and sixty-five percent added an incentive on top.

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WHAT THIS MEANS FOR YOUR NEXT BUYER OR SELLER CONVERSATION:

1 **Tell buyers new construction is negotiable too.**
Forty-three percent of builders cut their price this month, by six percent on average, and most added an incentive on top.

2 **Use the traffic number with a seller who won't move.**
The buyer-traffic score builders report fell to its lowest level since 2012, outside the pandemic's first weeks. Fewer people are walking through anyone's door right now, not just theirs.

3 **Chicago gets a different story than the coasts.**
The Midwest posted the highest score of any region this month, 40, and permits there rose 2.9 percent. The article calls it the one bright spot nationally.

THE TAKEAWAY

PULL UP YOUR NEXT NEW-CONSTRUCTION COMPARISON AND LEAD WITH THE DISCOUNT.

Builders are negotiating right now. Act like it.

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